

COMMERCIAL LEASE AGREEMENT

THIS LEASE AGREEMENT ("Lease") entered into March 1, 2025, between **PACIFIC HEIGHTS PROPERTIES**, a California limited liability company ("Landlord"), and **SKYLINE STORES**, a Delaware corporation ("Tenant").

RECITALS

- A. Landlord owns Pacific Heights Shopping Village, a 125,000 square foot upscale retail center in San Francisco's premier shopping district.
- B. Tenant desires to operate a boutique express-format store catering to the affluent Pacific Heights demographic.
- C. The Premises formerly housed a gourmet market and requires minimal renovation for Tenant's use.
- D. This Lease commences March 25, 2025, for an initial term of three years.

ARTICLE 1 - BASIC LEASE TERMS

Component	Terms
Premises:	11,000 RSF plus 1,000 SF storage
Store ID:	S011
Address:	33 Pacific Avenue, San Francisco, CA 94109
Shopping Center:	Pacific Heights Shopping Village
Pro Rata Share:	8.8% (11,000 ÷ 125,000)
Term:	Three (3) years
Commencement:	March 25, 2025
Expiration:	March 24, 2028
Security Deposit:	\$110,000 (Letter of Credit)
Delivery Condition:	Broom clean, as-is

Base Rent Schedule:

Year	Annual Rent	Monthly Rent	PSF/Year
1	\$660,000	\$55,000	\$60.00
2	\$686,400	\$57,200	\$62.40
3	\$713,856	\$59,488	\$64.90

ARTICLE 2 - PREMISES AND GRANT

2.1 Demised Premises

Landlord leases to Tenant:

- 11,000 SF ground floor retail
- 1,000 SF basement storage
- Exclusive use of rear service area
- Two designated loading zones
- Rights to shopping village amenities

2.2 Common Areas

- Valet parking service
- Landscaped courtyards
- Customer seating areas
- Concierge services
- Security presence

2.3 Parking

- No dedicated parking (urban location)
- Valet service for customers
- 10 monthly permits for employees (\$350/each)
- Street parking validation program

2.4 Delivery Condition

Space delivered in current state with:

- Existing walk-in coolers (3)
- Commercial kitchen infrastructure
- Customer restrooms (ADA compliant)
- Service elevator access
- Original hardwood floors

ARTICLE 3 - FINANCIAL TERMS

3.1 Base Rent

Premium Pacific Heights location commands \$60+ PSF reflecting:

- Affluent demographics (\$250K+ average HHI)
- Limited retail availability
- Walkable neighborhood
- Tourist destination
- Complementary tenant mix

3.2 Additional Rent Components

Operating Expenses: \$18.50 PSF (2025 estimate)

- Concierge and valet services
- Enhanced security patrol
- Premium landscaping
- Marketing programs
- Professional management
- Insurance premiums

Real Estate Taxes: \$8.75 PSF (2025 estimate)

- Subject to Prop 13 limitations
- Includes special assessments
- BID assessments additional

Marketing Fund: \$2.00 PSF annually

- Neighborhood advertising
- Special events (6 annually)
- Digital marketing
- Tourism partnerships

3.3 Percentage Rent

4% of Gross Sales exceeding \$6,000,000 annually

3.4 Late Charges

5% after 5-day grace period. Interest at 10% per annum. Two late payments in 12 months triggers default.

3.5 Audit Rights

Annual audit right with 30-day notice. If overcharge >3%, Landlord pays audit cost.

ARTICLE 4 - USE AND OPERATIONS

4.1 Permitted Use

Upscale Express Skyline Store featuring:

- Curated merchandise selection
- Gourmet food offerings
- Premium grab-and-go
- Wine and craft beer (with license)
- Artisanal local products
- Floral department
- Concierge services

4.2 Trade Name

"Skyline Express - Pacific Heights" or similar upscale designation required.

4.3 Operating Requirements

Mandatory Hours:

- Monday-Saturday: 8 AM - 9 PM
- Sunday: 9 AM - 8 PM
- Holidays: 10 AM - 6 PM (minimum)

Quality Standards:

- Premium merchandising required
- Fresh offerings daily
- Luxury service standards
- Multilingual staff preferred

4.4 Prohibited Uses

- Discount merchandising
- Dollar store items

- Used goods
- Check cashing
- Warehouse sales

4.5 Neighborhood Compatibility

Must maintain upscale character consistent with Pacific Heights standards and shopping village aesthetic.

ARTICLE 5 - MAINTENANCE RESPONSIBILITIES

5.1 Tenant's Maintenance

Complete responsibility for:

- Interior premises (all aspects)
- Storefront and entrance
- **HVAC maintenance and repairs**
- Kitchen equipment
- Refrigeration systems
- Customer amenities

5.2 Landlord's Maintenance

Landlord maintains:

- Building structure
- Roof and gutters
- Common areas
- Valet operations
- **HVAC replacement when required**
- Facade (excluding storefront)

5.3 HVAC Service Details

SPLIT RESPONSIBILITY:

- **Tenant:** All maintenance, service contracts, repairs under \$10,000
- **Landlord:** Replacement of units, repairs over \$10,000
- **Equipment:** Two rooftop units (2019 installation)
- **Capacity:** 15 tons total serving Premises

5.4 Special Maintenance

- Grease trap service bi-monthly
- Hood cleaning quarterly
- Refrigeration monitoring 24/7
- Pest control weekly
- Deep cleaning quarterly

5.5 Historic Elements

Original architectural features must be preserved. No modifications without approval.

ARTICLE 6 - ALTERATIONS AND IMPROVEMENTS

6.1 Initial Alterations

TI Allowance: \$275,000 (\$25 PSF)

- Design approval by Architectural Committee
- Preserve historic elements
- 90-day completion requirement
- Local contractor preference

6.2 Design Standards

- Consistent with village aesthetic
- High-end finishes required
- Energy-efficient systems
- Preserve street views
- Complement neighboring tenants

6.3 Ongoing Alterations

- <\$15,000: Notice only
- **|** \$15,000: Prior written consent
- Architectural review required
- Historic commission if applicable

6.4 Restoration

Return to "white box" condition preserving historic elements unless otherwise agreed.

ARTICLE 7 - INSURANCE AND INDEMNITY

7.1 Insurance Requirements

General Liability:	\$3,000,000 per occurrence \$5,000,000 aggregate
Property:	Replacement cost coverage
Business Interruption:	12 months minimum
Liquor Liability:	\$2,000,000 (if applicable)
Auto:	\$2,000,000 combined
Workers' Comp:	Statutory California
Umbrella:	\$10,000,000 excess
Food Contamination:	\$1,000,000

7.2 Additional Insureds

Landlord, property manager, and Landlord's lender as additional insureds with primary coverage.

7.3 Waiver of Subrogation

Mutual waiver on all property damage claims to extent of insurance coverage.

7.4 Indemnification

Broad mutual indemnification except for gross negligence and willful misconduct.

ARTICLE 8 - ASSIGNMENT AND SUBLETTING

8.1 Consent Required

No Transfer without Landlord consent. Quality and character of Center must be maintained.

8.2 Transfer Standards

- Financial strength (minimum \$100M net worth)
- Upscale retail experience
- Brand compatibility
- Operational excellence

8.3 Permitted Transfers

- Affiliates with equal financial strength

- Skyline franchisees (approved concept)
- Merger with public company

8.4 Recapture

Landlord may recapture for proposed assignment of entire Premises.

8.5 Profit Sharing

50% of net Transfer premium to Landlord after Tenant's costs.

ARTICLE 9 - DEFAULT AND REMEDIES

9.1 Events of Default

- **Monetary:** 5 days after written notice
- **Operational:** 48 hours for hour violations
- **Other:** 20 days after notice
- **Chronic:** 2 monetary defaults in 12 months

9.2 Remedies

California-compliant remedies:

- Termination and damages
- Possession termination only
- Specific performance
- Injunctive relief
- Mitigation required

9.3 Tenant Remedies

- Self-help and offset
- Specific performance
- Actual damages
- No consequential damages

9.4 Disputes

Mediation required before litigation. AAA rules apply.

ARTICLE 10 - SPECIAL PROVISIONS

10.1 Village Standards

- Participate in all village events
- Maintain window displays
- Coordinate with other tenants
- Support valet program
- Follow design guidelines

10.2 Exclusivity

No other general merchandise/grocery in shopping village during Term.

10.3 Sustainability Requirements

- Organic waste composting mandatory
- Zero plastic bag policy
- Energy conservation program
- Local sourcing priority (25% minimum)
- Green cleaning products only

10.4 Community Relations

- Neighborhood association membership
- Monthly merchant meetings
- Charity event participation
- Local hiring preference
- Cultural event support

10.5 Technology Integration

- POS data sharing for traffic analysis
- Integrated loyalty programs
- Mobile app participation
- Smart building features
- Customer Wi-Fi required

10.6 Delivery Restrictions

- Deliveries: 6 AM - 10 AM only

- No idling vehicles
- Quiet electric pallet jacks
- Coordinated scheduling required
- No weekend large deliveries

10.7 Liquor License

Tenant may obtain Type 20 (beer/wine) license. Landlord cooperation provided.

10.8 Outdoor Displays

Limited seasonal displays with prior approval. Must maintain village aesthetic.

ARTICLE 11 - CASUALTY AND CONDEMNATION

11.1 Damage to Premises

- **Minor (<25%):** Landlord repairs within 120 days
- **Major (>25%):** Either party may terminate
- **Last year:** Tenant may terminate for any damage

11.2 Village Damage

If shopping village substantially damaged, Landlord may terminate even if Premises intact.

11.3 Rent Abatement

Proportionate abatement during restoration. No abatement if Tenant-caused.

11.4 Condemnation

- Total taking: Termination
- Partial >20%: Tenant option
- Loss of access: Tenant option

11.5 Insurance Proceeds

Landlord restores base building. Tenant restores its improvements.

ARTICLE 12 - MISCELLANEOUS PROVISIONS

12.1 Notices

To Landlord: Pacific Heights Properties 2000 Broadway, Suite 200 San Francisco, CA 94109 Attn: Property Management Email: management@phproperties.com

To Tenant: Skyline Stores 500 Commerce Drive Dallas, TX 75201 Attn: Real Estate Legal Email: legal.re@skylinestores.com

12.2 Parking Validation

Tenant participates in neighborhood validation program at \$15/hour subsidy for 2-hour maximum.

12.3 Historic Tax Credits

Landlord reserves historic tax credits. Tenant cooperates with requirements.

12.4 SNDA

Landlord obtains from existing lender (Bank of San Francisco) within 60 days.

12.5 Estoppel Certificates

Delivered within 10 business days. Form attached as **Exhibit E**.

12.6 Environmental

- No hazardous materials except consumer products
- Immediate spill reporting
- Full compliance required
- Phase I shows clean status

12.7 Force Majeure

Standard exclusions plus earthquakes and rolling blackouts. No rent excuse.

12.8 Governing Law

California law governs. San Francisco venue. Jury trial waived.

12.9 Brokers

Cushman & Wakefield (both parties). Commission paid by Landlord.

12.10 Guaranty

Parent company guaranty required throughout Term.

12.11 Memorandum

Short form lease may be recorded at Tenant expense.

12.12 Confidentiality

Lease terms confidential except as legally required.

12.13 Interpretation

- No presumption against drafter
- Business days exclude weekends/holidays
- Include means "including without limitation"
- Reasonableness standard throughout

12.14 Amendments

Written amendments only. No oral modifications.

12.15 Severability

Invalid provisions severed. Remainder enforced.

12.16 Entire Agreement

Complete agreement superseding all prior negotiations.

12.17 Counterparts

Electronic signatures permitted. Multiple counterparts constitute one agreement.

EXECUTION

IN WITNESS WHEREOF, the parties execute this Lease as of the date first above written.

LANDLORD: PACIFIC HEIGHTS PROPERTIES

By: _____

Name: Elizabeth Morrison

Title: Managing Member

Date: March 1, 2025

TENANT: SKYLINE STORES

By: _____

Name: Christopher Lee

Title: VP Real Estate - West Region

Date: March 1, 2025

GUARANTOR: SKYLINE STORES HOLDINGS, INC.

By: _____

Name: Sandra Miller

Title: Chief Financial Officer

Date: March 1, 2025

EXHIBITS

Exhibit A - Floor Plan of Premises and Storage **Exhibit B** - Shopping Village Site Plan **Exhibit C** - Delivery Routes and Service Areas **Exhibit D** - Village Design Guidelines **Exhibit E** - Form of Estoppel Certificate **Exhibit F** - Rules and Regulations **Exhibit G** - Guaranty Form **Exhibit H** - Valet Parking Program Details **Exhibit I** - Approved Signage Locations **Exhibit J** - Historic Preservation Requirements **Exhibit K** - Merchant Association Bylaws **Exhibit L** - Insurance Requirements Detail **Exhibit M** - Green Operating Standards